

26STCV16467 26STCV16467

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SUPERIOR

COURT OF CALIFORNIA, COUNTY OF LOS ANGELES

Civil

Division

Central

District, Stanley Mosk Courthouse, Department 311

Tentative

Ruling

26STCV16467

VERONICA

CARTER vs WAM GOLD LLC, A CALIFORNIA LIMITED LIABILITY COMPANY, et al.

July

11, 2026

8:30

AM

NATURE OF PROCEEDINGS:

DEFENDANT WAM GOLD LLC'S DEMURRER TO PLAINTIFF'S COMPLAINT. DEFENDANT WAM GOLD LLC'S MOTION TO STRIKE

PORTIONS OF PLAINTIFF'S COMPLAINT.

RULING:

The Court overrules the
Demurrer and denies the Motion to Strike.

Twenty
days to answer.

Plaintiff
shall give notice.

I.

BACKGROUND

On May 22, 2026, VERONICA
M. CARTER (Plaintiff) filed a Complaint against WAM GOLD LLC, and GEN
DIGITAL INC. (Defendants), listing Causes of Action for:

1.

AIDING AND ABETTING ELDER FINANCIAL ABUSE

2.

VIOLATIONS OF CALIFORNIA CONSUMER LEGAL REMEDIES ACT

3.

FRAUD

4.

BREACH OF FIDUCIARY DUTY

5.

UNFAIR BUSINESS PRACTICES.

Plaintiff alleges that WAM
GOLD LLC repeatedly processed six-figure transactions in a short period, knowing
of financial elder abuse of an elderly customer liquidating retirement assets
and purchasing unusually large quantities of gold pursuant to directions of a
scammer. Also, Plaintiff avers that Defendant GEN DIGITAL INC. did not provide the
services as marketed, towards protecting Plaintiff from being a victim of a scam.

On June 25, 2026, WAM

GOLD LLC (Defendant) filed the Demurrer to the Complaint regarding aiding and abetting financial elder abuse, and the Motion to Strike punitive damages.

Plaintiff opposes, contending that the allegations are sufficient, and alternatively requests leave to amend.

II.

LEGAL STANDARD

Demurrers are to be sustained where a pleading fails to plead adequately any essential element of the cause of action. (*Cantu v. Resolution Trust Corp.* (1992) 4 Cal.App.4th 857, 879-880.) A complaint does not necessarily need to be a model of pleading but needs sufficient factual allegations. (E.g., *State v. The Superior Court* (2001) 87 Cal.App.4th 1409, 1411.) “ ‘Even as against a special demurrer, a plaintiff is required only to “set forth in his complaint the essential facts of his case with reasonable precision and with particularity sufficiently specific to acquaint the defendant of the nature, source, and extent of his cause of action.” ’ ” (*Elder v. Pac. Bell Tel. Co.* (2012) 205 Cal.App.4th 841, 858.)

When considering demurrers, courts read the allegations liberally, reasonably and in context. (*MKB Management, Inc. v. Melikian* (2010) 184 Cal.App.4th 796, 802; *McKenney v. Purepac Pharmaceutical Co.* (2008) 167 Cal.App.4th 72, 77; *Taylor v. City of Los Angeles Dept. of Water and Power* (2006) 144 Cal.App.4th 1216, 1228, disapproved of on other grounds by *Jones v. Lodge at Torrey Pines Partnership* (2008) 42 Cal.4th 1158, 1173.) In ruling upon demurrers, courts treat as being true “not only the complaint's material factual allegations, but also facts that may be implied or inferred from those expressly alleged.” (*Poseidon Development, Inc. v. Woodland Lane Estates, LLC* (2007) 152 Cal.App.4th 1106, 1111-1112. *Accord, Schauer v. Mandarin Gems of Cal., Inc.* (2005) 125 Cal.App.4th 949, 953.)

The grounds for a motion to strike are that the pleading has irrelevant, false or improper matter, or has not been drawn or filed in conformity with laws. (Code Civ. Proc., § 436.) The grounds for moving to strike must appear on the face of the pleading or by way of judicial notice. (Code Civ. Proc., §

437.)

III.

ANALYSIS

A. Demurrer

Regarding Aiding and Abetting Financial Elder Abuse

Defendant argues that

Plaintiff fails to allege Defendant's actual knowledge for aiding-and-abetting liability, beyond just suspicious but ordinary commercial sales or what Defendant should have known in hindsight. Defendant adds that Plaintiff's Claim for Unfair Business Practices falls with the elder-abuse theory.

Plaintiff counterargues

that Defendant overlooks the factual allegations from which Defendant's actual knowledge and substantial assistance may reasonably be inferred, beyond Defendant being just an innocent retailer.

“ ‘[O]n demurrer, a court

must carefully scrutinize whether the plaintiff has alleged the bank had actual knowledge of the underlying wrong it purportedly aided and abetted.’ ” (Das v. Bank of Am., N.A. (2010) 186 Cal.App. 4th 727, 745 [“Because appellant has not alleged that respondent knew about the schemes that victimized her father, she has failed to allege that respondent assisted in financial abuse under section 15610.30.”]. Accord Casey v. U.S. Bank Nat. Assn. (2005) 127 Cal.App.4th 1138, 1152.)

Welfare and Institutions

Code section 15610.30 imposes liability if, “ ‘the person or entity knew or should have known that this conduct is likely to be harmful to the elder ... adult.’ ” (Paslay v. State Farm Gen. Ins. Co. (2016) 248 Cal.App.4th 639, 657–658 [“encompasses a variety of mental states, ranging from one who is deliberately indifferent in the face of an unjustifiably high risk of harm....”]. (Underscoring added.) See also Munoz v. Patel (2022) 81 Cal.App.5th 761, 782–783 [allegations that defendant obtained property of an elder for a wrongful purpose or with fraudulent intent sufficiently stated a claim for financial elder abuse.]; Wood v. Santa Monica Escrow Co. (2007) 151 Cal.App.4th 1186, 1189 [“Section 15610.30, subdivision (a), provides that financial abuse of an elder or dependent adult

occurs where a person takes or assists in taking real or personal property of such an adult to a wrongful use or with an intent to defraud, or both.”]; Stebley v. Litton Loan Servicing, LLP (2011) 202 Cal.App.4th 522, 527-528 [“bad faith or intent to defraud is no longer required in elder or dependent adult abuse cases.... But they still must allege at least a ‘wrongful use’ of property.”].)

Here, the Complaint

satisfactorily supports, with factual allegations, Defendant’s knowledge of financial elder abuse, as illustrated by the following excerpts:

13.

Plaintiff had no prior history of engaging in large precious-metals transactions with Crown Gold. Nevertheless, Crown Gold processed repeated six-figure transactions over a short period, involving an elderly customer who was liquidating retirement assets and purchasing unusually large quantities of gold.

14. On information and belief, Crown Gold knew

that gold-conversion scams targeting elderly victims are widely known within the precious-metals industry and that common indicators include repeated large purchases, liquidation of retirement assets, unusual wire activity, elderly customers acting under suspicious circumstances, and transactions inconsistent with ordinary consumer behavior.

15. The transactions processed by Crown Gold

exhibited those indicators. The repetitive nature of the transactions, Plaintiff’s age, the liquidation of retirement assets, the escalating dollar amounts, and Plaintiff’s conduct during the transactions created obvious indicators that Plaintiff was acting under the control or direction of a third party and was the victim of an ongoing fraud scheme.

16. Despite those obvious indicators, Crown

Gold failed to conduct any meaningful inquiry, continued processing additional transactions as the pattern intensified, and substantially assisted the scammer by converting Plaintiff’s liquid assets into gold intended to evade detection and recovery.

17.

On information and belief, Crown Gold knew, or consciously avoided confirming,

that Plaintiff was acting under the direction and control of a scammer, yet nevertheless continued facilitating the transactions.

....

31.

Crown Gold knowingly assisted the scheme by processing highly suspicious gold transactions bearing obvious indicators of elder financial abuse, including repeated six-figure purchases, liquidation of retirement assets, unusual wire transfers, escalating transaction amounts, and conduct inconsistent with ordinary consumer activity.

32. Crown Gold accepted multiple large transactions from an elderly customer who had never previously conducted business with the company, yet failed to conduct any meaningful inquiry into the suspicious nature of the transactions.

33. On information and belief, Crown Gold knew, or consciously avoided knowing, that Plaintiff was acting under the control and direction of a scammer and that the transactions were part of an ongoing fraud scheme targeting an elderly victim.

34. Despite those obvious indicators, Crown Gold continued processing transactions and facilitating the conversion of Plaintiff's liquid assets into a form designed to evade recovery, thereby substantially assisting the scammer's misconduct.

(Complaint, ¶¶ 13-17, 31-34.)

And, because the underlying claims do not fail, neither does the Fifth Cause of Action for Unfair Business Practices. (See *Wolski v. Fremont Investment & Loan* (2005) 127 Cal.App.4th 347, 357 [a cause of action for violation of Business and Professions Code section 17200 fails if it is predicated on a violation of law that fails].)

B. Motion
to Strike Punitive Damages

Defendant maintains that the Complaint inadequately relies on allegations of speculation and negligence, and fails to address corporate authorization or ratification required by Civil Code section 3294(b).

Plaintiff contends that the Complaint adequately alleges that Defendant consciously disregarded Plaintiff's rights, by knowingly processing exorbitant gold orders or showed indifference to looking into that, as to an elderly lady who had never purchased gold from them and was involved in suspicious transactions that converted her liquid assets into gold for delivery to a scammer.

"In order to survive a motion to strike an allegation of punitive damages, the ultimate facts showing an entitlement to such relief must be pled by a plaintiff." (Clauson v. Superior Court (1998) 67 Cal.App.4th 1253, 1255. Accord, Spinks v. Equity Residential Briarwood Apartments (2009) 171 Cal.App.4th 1004, 1055; Blegen v. Superior Court (1981) 125 Cal.App.3d 959, 962.)

Punitive damages may be combined with an Elder Abuse Cause of Action (See Berkley v. Dowds (2007) 152 Cal.App.4th 518, 530 [elder abuse statute provides for awards of punitive damages]; Covenant Care, Inc. v. Superior Court (2004) 32 Cal.4th 771, 789 ["In order to obtain the Act's heightened remedies, a plaintiff must allege conduct essentially equivalent to conduct that would support recovery of punitive damages."].)

Even a tort involving negligence, together with conduct or omissions that one knows or should know probably will result in harm, can support an award of punitive damages. (Nolin v. National Convenience Stores, Inc. (1979) 95 Cal.App.3d 279, 286-288 [defendant's inattention to danger showed a complete lack of concern for the likelihood of personal injuries at defendant's premises].)

For corporations to be liable for punitive damages, actions need not be by a director, or managing agent, but also liability may include where entities had knowledge and disregarded the rights of others, or authorized or ratified the conduct. (Myers v. Trendwest Resorts, Inc. (2007) 148 Cal.App.4th 1403, 1436.) Further, there is no requirement to identify

officers, directors or managing agents. Alleging "permission and consent" of defendants including corporate defendants is sufficient to plead corporate employer liability for punitive damages. (O'Hara v. Western Seven Trees Corp. (1977) 75 Cal.App.3d 798, 806 ["it was alleged that the misrepresentations were made by persons who acted 'with the permission and consent' of all the defendants. For the purpose of meeting a general demurrer, this was a sufficient allegation that the corporations had authorized their agent's acts; a corporation is liable for punitive damages when it authorizes the wrongful act."]; Kisesky v. Carpenters' Trust (1983) 144 Cal.App.3d 222, 235 [allegations of agents acting in scope of employment with employer's permission and consent were sufficient].)

IV.

CONCLUSION

The Court overrules the
Demurrer.

The Court denies Motion.